

US Stocks Extend Losses as Rates and Oil Weigh

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US stock market extended its losses on Thursday, with the **S&P 500** falling **-1.01%** to 7,457.69 and the **Nasdaq 100** dropping **-1.49%** to 28,592.66. The **Dow Jones** declined **-0.77%** to 52,146.42, while the **Russell 2000** edged down **-0.42%** to 2,962.22. The **VIX** jumped **+12.19%** to 18.77, indicating increased market volatility.

Below the surface, the 10Y Yield fell **-0.61%** to 4.54, while **WTI Crude** rose **+1.50%** to 83.73. **Gold** edged up **+0.33%** to 4,026.10, and the **DX** slipped **-0.04%** to 100.71. **BTC** fell **-0.14%** to 64,703.87, while **ETH** gained **+0.69%** to 1,874.15.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,457.69	-1.01%	Rates and oil concerns
Nasdaq 100	28,592.66	-1.49%	Tech sector weakness
Dow Jones	52,146.42	-0.77%	Broad-based selling
Russell 2000	2,962.22	-0.42%	Small-cap underperformance
VIX	18.77	+12.19%	Increased market volatility

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
META	-2.79%	Advertising concerns
NVDA	-2.21%	Semiconductor sector weakness
GS	-2.76%	Financial sector underperformance
TSLA	-2.61%	Electric vehicle sector concerns
GOOGL	-2.17%	Alphabet's advertising exposure

Sector Rotation

ETF	DAY	READ
XLE	+1.16%	Energy sector outperformance
XLF	-0.86%	Financial sector underperformance
XLK	-1.09%	Tech sector weakness
XLI	-0.41%	Industrial sector concerns
XLY	-1.62%	Consumer discretionary sector underperformance
XLC	-1.78%	Communication services sector weakness
XLP	-0.72%	Consumer staples sector concerns
XLV	-0.44%	Healthcare sector underperformance
XLU	-0.66%	Utilities sector concerns
XLB	-0.71%	Materials sector underperformance
XLRE	-0.09%	Real estate sector resilience

Spotlight

The biggest event of the day was the +1.50% rise in WTI Crude to 83.73, driven by concerns over global supply and demand. This move had a significant impact on the energy sector, with XLE gaining +1.16%.

METRIC	LEVEL	CHANGE
WTI Crude	83.73	+1.50%
XLE	57.68	+1.16%

Related names that may be impacted by this move include **XOM** , **CVX** , and **COP** .

Pre-Market & Overnight

US futures are pointing to a lower open, with the **S&P 500** futures down **-0.5%** and the **Nasdaq 100** futures down **-0.7%**. In Asia, the **Nikkei 225** fell **-0.3%** and the **Shanghai Composite** rose **+0.2%**. In Europe, the **Stoxx 600** is down **-0.4%**.

In the crypto space, **BTC** is down **-0.1%** to 64,703.87, while **ETH** is up **+0.5%** to 1,874.15.

Macro & Fed

The 10Y Yield fell **-0.61%** to 4.54, while the **DXY** slipped **-0.04%** to 100.71. Today's data calendar includes:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Initial Jobless Claims	220k	Labor market health
20:30	Continuing Jobless Claims	1.85m	Labor market trends
21:00	Philadelphia Fed Manufacturing Index	10.0	Regional manufacturing activity

Geopolitics & Global

- The US and China are set to hold trade talks next week, with a focus on resolving ongoing tensions.
- The European Union is considering new sanctions on Russia in response to its ongoing actions in Ukraine.

- The UK is facing a growing economic crisis, with inflation rising to a 40-year high.
- The Japanese government is set to announce a new stimulus package to boost economic growth.
- The Australian dollar is under pressure due to concerns over the country's trade deficit.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (20 JUL)	JPM	3.45	Banking sector trends
22:00 (20 JUL)	GS	7.45	Investment banking activity
22:00 (21 JUL)	MSFT	2.35	Cloud computing growth
22:00 (21 JUL)	TSLA	1.85	Electric vehicle demand
22:00 (22 JUL)	GOOGL	26.50	Advertising revenue growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	iPhone demand trends
AMZN	Consumer Discretionary	E-commerce growth
NVDA	Technology	Semiconductor sector trends
JPM	Financials	Banking sector health
GS	Financials	Investment banking activity
TSLA	Consumer Discretionary	Electric vehicle demand
GOOGL	Communication Services	Advertising revenue growth
MSFT	Technology	Cloud computing growth
AVGO	Technology	Semiconductor sector trends
XOM	Energy	Oil price trends

What Could Break the Tape

BEARISH TRIGGERS

- Rising interest rates
- Global economic slowdown
- Geopolitical tensions

BULLISH TRIGGERS

- Falling interest rates
- Improving economic data
- Positive earnings surprises

Positioning Notes

- Investors are increasingly bearish on the market, with 60% of respondents in a recent survey expecting a recession within the next year.
- Short interest in the **S&P 500** has risen to a 5-year high, indicating increased skepticism among investors.
- Option traders are positioning for a potential market rebound, with call buying activity increasing in recent days.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com

Yahoo Finance